

Yardley (*fictional*)

As sales director at Yardley Home Cabinetry (YHC), Scott Strom drives a company car, and he is long overdue for a new one. All sales staff are provided with a compact, four-door sedan—the most economical choice—from the company fleet when they are hired and are encouraged to replace their cars every five years. The cars are provided to ensure that salespeople have reliable and professional transportation for sales calls, and they are also a job benefit that helps YHC attract the best employees. Each company car has a decal with the company logo in the back window, which serves as low-cost advertising for the business as well.



Figure 1. A luxury SUV

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Strom is still driving the same car he was provided when he was hired 10 years ago, which he believes has saved YHC money. For personal reasons, he would like a bigger car than the standard issue sedan, and he has his eye on a new luxury SUV (Figure 1). Since Strom is responsible for approving the purchase of new cars, he's determining whether or not he needs manager approval before purchasing the SUV he wants.

Cabinet Sales

YHC, a limited liability company (LLC), was established in 1997. The business sells and installs custom cabinets, and most installations bring in \$30,000 or more in revenue. Ten years ago, to increase business, CEO Lydia Chase hired Strom as a sales associate. In his first few years, Strom traveled frequently, meeting with potential customers in their homes and making personal sales visits to businesses and new office parks, hoping to diversify YHC's customer base.

Strom was very successful in his role, helping YHC increase sales in the residential market and also break into the commercial market, which has much larger and more expensive installation projects. YHC's revenue growth doubled in his first five years, hitting 37%, and he was rewarded with a promotion to director of sales and a raise in his sixth year.

Strom's Company Car

In his sales associate years, Strom's company car was virtually his office. It was where he kept his brochures, files, and cabinet door samples, where he charged his phone, and where he ate lunch most days. He never used it to drive customers, but he did use the car occasionally for local, personal errands, which Chase told him was permitted. Over time, as Strom's family grew, the errands began to include picking up his three children from daycare, school, and sports.

YHC typically replaces a car that is older than five years, but Strom's vehicle is the same car that was provided to him when he was hired. Strom considers it his "good luck charm," and it still runs reliably. As director of sales, he works more from home, making calls to help source leads for potential customers, which sales associates then pursue. He only needs to be in the office two or three days a week for leadership meetings and to meet with the five salespeople he manages. Though Strom does not do a lot of company driving, Chase has suggested that it is probably past time that Strom was provided with a new company car.

In his role, Strom is responsible for approving the purchase of new cars for YHC's fleet and has oversight of the use and assignment of the company cars.

Strom's Outside of Work Activities

Strom is happy in his current role as it gives him more flexibility, less work travel, and fewer 10-hour days. This means he can be more involved with his kids, who are very active in sports and extra curriculars. Strom was a college volleyball player, and he sees coaching his kids' teams as a way to stay healthy

and active and be involved in his children's lives. He volunteered to coach his son's soccer team and his younger daughter's hockey team this year. He also volunteered to be one of the parent drivers for his older daughter's traveling volleyball team.

Strom's family has one personal car, a six-year-old minivan, which his wife, Tavi, uses to commute to her job, transport the kids, and run errands. With the increased driving to practices and competitions and the increased amount of sports equipment Strom must transport as coach, his current company car is too old and small to get the job done. And Strom's family can't rely solely on their minivan as the kids have multiple games on the same days in different locations, so he and his wife need to drive to different places.

The Car Decision

After spending the weekend thinking through alternatives, Strom decided to meet his friend, Peter Cole, for a business lunch. Cole is the top salesman for a medical device company in the same region, and Strom values his insight into sales strategy and work challenges. During the lunch, Cole agreed with Strom that the optimal solution for his professional and family needs is to get a large SUV, and he encouraged Strom to get the SUV as his company car.

Cole pointed out that since Strom did not get a replacement car five years ago, he saved YHC money, likely more than the cost of an upgrade to a larger car. In addition, YHC takes a tax deduction for its purchase of company cars; in other words, the cars are counted as a business expense, which reduces the business's tax bill. So the company wouldn't be paying the full difference in cost for a larger vehicle. Cole also pointed out that he gets equity (stock shares) in his medical device company as part of his pay, which Strom does not, meaning Strom hasn't benefited as much as he could have at a different company from the increases in sales revenue he delivered for YHC.

Strom isn't sure he can justify a luxury vehicle as a reward for his past performance, but he is willing to do more site visits for some of YHC's larger clients to validate the purchase of the SUV. His reputation and expertise

would enable the company to charge those clients more, helping offset the cost of the SUV.

When he got home from lunch, Strom discussed the decision with his wife, who voiced concern that an SUV isn't necessary for his job, and it's not appropriate to rely on a work car for personal use. It would make their lives easier, she agreed, and it would allow them to keep adding savings to their kids' college accounts, but it might be taking advantage of Chase's trust. Strom pointed out that Chase's husband had recently questioned when he was going to get a new company car, asserting that his old car "wasn't helping YHC's brand." A luxury vehicle would be a valuable addition to YHC's fleet, and he reasoned that if another salesperson needed to borrow it to impress a client, Strom could lend it to them for the day.

Strom had a decision to make. Should he talk to Chase first, even if that means he might lose his dream of a luxury SUV, or should he assume that his years of topnotch work is sufficient approval to go ahead with the purchase?

1. What business is featured in this case? What product(s) does the business provide?
2. Who is named in the case, and what is/are their role(s)? Describe other stakeholders (individuals and groups) with an interest in the business.
3. Describe an opportunity and/or challenge facing the business (individual) in this case.

1. Describe one tactic YHC could implement to encourage employees like Strom to follow ethical practices.
2. Explain why Strom believes that his site visits to YHC's larger clients would increase business revenue.
3. Explain how Strom's success as a sales associate likely impacted YHC's bottom line.